

1 ENGROSSED HOUSE
2 BILL NO. 1590

By: Lepak of the House

3 and

4 Daniels of the Senate
5

6 An Act relating to public finance; enacting the
7 Oklahoma Education Infrastructure Linked Deposit
8 Program Act; defining terms; requiring State
9 Treasurer to disseminate information; authorizing
10 administration of program; authorizing issuance of
11 guidelines; requiring annual report; providing for
12 certain loan packages; prescribing procedures for
13 applications to participate in program; imposing
14 restriction on loan agreements; prohibiting certain
15 conflict of interest; imposing requirement with
16 respect to use of loan proceeds; providing for
17 evaluation of education service entity; prescribing
18 procedures for review; providing for determination of
19 certain interest rate; prohibiting false statements;
20 providing for review of loan packages by State
21 Treasurer; prescribing procedures in the event of
22 application rejections; providing for evaluation by
23 State Treasurer; providing for placement of certain
24 state funds; providing for deposit agreements;
stating requirements of agreements; imposing duty on
lending institution; prescribing requirement with
respect to interest rate; providing for certificates
of compliance; providing for immunity from liability;
providing for effect of certain events related to
loan agreement; prescribing maximum loan amount;
authorizing renewals; providing for codification; and
providing an effective date.

21 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

22 SECTION 1. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section 92.1 of Title 62, unless there
24 is created a duplication in numbering, reads as follows:

1 This act shall be known and may be cited as the "Oklahoma
2 Education Infrastructure Linked Deposit Program".

3 SECTION 2. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 92.2 of Title 62, unless there
5 is created a duplication in numbering, reads as follows:

6 It is the purpose of the Oklahoma Education Infrastructure
7 Linked Deposit Program to provide funding for eligible education
8 service delivery entities. It is the specific intent of the
9 Legislature that any funding provided to eligible education service
10 delivery entities shall enhance educational opportunities for the
11 children of this state.

12 SECTION 3. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section 92.3 of Title 62, unless there
14 is created a duplication in numbering, reads as follows:

15 As used in the Oklahoma Education Infrastructure Linked Deposit
16 Program:

17 1. "Board" means the Statewide Charter School Board created
18 pursuant to Section 3-132.1 of Title 70 of the Oklahoma Statutes;

19 2. "Education service entity" means a nonprofit organization or
20 a charter school;

21 3. "Education service entity infrastructure" means construction
22 of new buildings, expansions or rehabilitation of an existing
23 building and items of tangible personal property integrated into a
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1 building, including, but not limited to heating, air conditioning
2 and ventilation (HVAC) systems;

3 4. "Education services linked deposit" means a certificate of
4 deposit placed by the State Treasurer with an eligible lending
5 institution or an investment in bonds, notes, debentures, or other
6 obligations with regard to an eligible lending institution for the
7 purpose of carrying out the intent of this program;

8 5. "Education service entity linked deposit loan package" means
9 the forms provided by the State Treasurer for the purpose of
10 applying for an education service entity linked deposit; and

11 6. "Eligible lending institution" means a financial institution
12 that agrees to participate in the Oklahoma Education Infrastructure
13 Linked Deposit Program, and is eligible to be a depository of state
14 funds.

15 SECTION 4. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 92.4 of Title 62, unless there
17 is created a duplication in numbering, reads as follows:

18 The State Treasurer shall disseminate information about the
19 Oklahoma Education Infrastructure Linked Deposit Program to the
20 financial institutions in this state.

21 SECTION 5. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section 92.5 of Title 62, unless there
23 is created a duplication in numbering, reads as follows:

1 A. The State Treasurer is authorized to administer the Oklahoma
2 Education Infrastructure Linked Deposit Program. The State
3 Treasurer in coordination with the Board is further authorized to
4 issue guidelines with respect to the Oklahoma Education
5 Infrastructure Linked Deposit Program.

6 B. The State Treasurer shall submit an annual report outlining
7 the status of the Oklahoma Education Infrastructure Linked Deposit
8 Program to the Governor, the Lieutenant Governor, the President Pro
9 Tempore of the Oklahoma State Senate, and the Speaker of the
10 Oklahoma House of Representatives.

11 SECTION 6. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 92.6 of Title 62, unless there
13 is created a duplication in numbering, reads as follows:

14 A. The State Treasurer is authorized to disseminate information
15 and provide education service entity deposit loan packages to the
16 lending institutions eligible for participation in the Oklahoma
17 Education Infrastructure Linked Deposit Program.

18 B. The education service entity deposit loan package shall be
19 completed by the borrower before being forwarded to the lending
20 institution for consideration. Any technical assistance in
21 completing the education service entity loan package shall be
22 provided by the Board.

23 C. 1. An eligible lending institution that desires to receive
24 an education service entity deposit shall accept and review

1 applications for loans from eligible education service entities.
2 The lending institution shall apply all usual lending standards to
3 determine the credit worthiness of each eligible education service
4 entity.

5 2. Only one linked deposit loan shall be made and be
6 outstanding at any one time to any education service entity.
7 However, the linked deposit loan may be refinanced.

8 3. No loan shall be made to any officer or director of the
9 lending institution making the loan.

10 D. An eligible education service entity shall certify on its
11 loan application that the reduced-rate loan will be used exclusively
12 for the construction or repair of eligible education service entity
13 infrastructure.

14 E. In considering which eligible education service entities to
15 include in the education service entity deposit loan package for
16 reduced-rate loans, the eligible lending institution shall give
17 priority to the economic and educational services needs of the area
18 in which the education service entity is located and other factors
19 it considers appropriate to determine the relative financial need of
20 the education service entity.

21 F. 1. The eligible lending institution shall forward to the
22 State Treasurer an education service entity deposit loan package in
23 the form and manner prescribed and approved by the State Treasurer.
24 The package shall include information regarding the amount of the

1 loan requested by each eligible education service entity and any
2 other information regarding each education service entity the State
3 Treasurer and the Board requires. The institution shall certify
4 that each applicant is an eligible education service entity, and
5 shall, for each education service entity, certify the present
6 borrowing rate applicable to each specific eligible education
7 service entity.

8 2. Whoever knowingly makes a false statement concerning a
9 linked deposit loan application shall be prohibited from
10 participating in the linked deposit loan program.

11 G. Upon receipt of a completed education service entity deposit
12 loan package, the State Treasurer may review or audit the
13 information contained in the completed education service entity
14 deposit loan package. The State Treasurer shall forward the
15 completed education service entity deposit loan package to the
16 Board. The Board shall review the education service entity deposit
17 loan package to determine if the package qualifies under this
18 program. The Board shall make a recommendation concerning the
19 package within ten (10) business days. The Board shall return the
20 package to the State Treasurer with a written recommendation of
21 approval or rejection. If the Board recommends rejection, the
22 written recommendation shall include reasons for the rejection. The
23 Board shall forward a copy of the rejection notice to the lending
24 institution and the borrower. The State Treasurer shall keep a

1 chronological list of applications forwarded by the Board for
2 approval or rejection.

3 SECTION 7. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 92.7 of Title 62, unless there
5 is created a duplication in numbering, reads as follows:

6 A. The State Treasurer may accept or reject an education
7 service entity deposit loan package or any portion of the package,
8 based on the State Treasurer's evaluation of the eligible lending
9 institution, the amount of individual loans in the package, the
10 amount of the package, funds available, and the rate savings
11 provided. If the State Treasurer recommends rejection, the written
12 recommendation shall include reasons for the rejection in a report
13 to the Board. The Board shall forward a copy of the rejection
14 notice to the lending institution and the eligible education service
15 entity. Applications brought into compliance with the Board and the
16 State Treasurer may be resubmitted for consideration. If the State
17 Treasurer rejects the loan because sufficient funds are not
18 available for a linked deposit, then the applications may be
19 considered in the order received when funds are once again available
20 subject to a review by the Board and the lending institution. In
21 evaluating the eligible education deposit loan package, the State
22 Treasurer shall consider the recommendation of the Board, including
23 the economic needs of the area where the education service entity is
24 located.

1 B. Upon acceptance of the education service entity deposit loan
2 package or any portion of the package, the State Treasurer shall
3 notify the Board, the lending institution and the borrower. Upon
4 acceptance, the State Treasurer may place certificates of deposit
5 with the eligible lending institution at a rate below current market
6 rates, as determined and calculated by the State Treasurer with
7 respect to the eligible lending institution at a rate below current
8 market rates, as determined and calculated by the State Treasurer.
9 When necessary, the State Treasurer may place certificates of
10 deposit or may invest in obligations or securities prior to
11 acceptance of an education service entity deposit loan package.

12 C. 1. The eligible lending institution shall enter into an
13 education service entity deposit agreement with the State Treasurer,
14 that shall include requirements necessary to implement the purposes
15 of the Oklahoma Education Infrastructure Linked Deposit Program.
16 The requirements shall include an agreement by the eligible lending
17 institution to lend an amount equal to the education service entity
18 linked deposit to eligible education service entities at an interest
19 rate that reflects a percentage rate reduction below the present
20 borrowing rate applicable to each specific education service entity
21 in the accepted loan package that is equal to the percentage rate
22 reduction below market rates at which the certificates of deposit
23 that constitute the education service entity linked deposit were
24 placed or at which the investments in bonds, notes, debentures, or

1 other obligations or securities that constitute the education
2 service entity linked deposit were made. The requirements shall
3 also reflect the market conditions prevailing in the eligible
4 lending institution's lending area.

5 2. The agreement may include a specification of the period of
6 time in which the lending institution is to lend funds upon the
7 placement of a linked deposit, and shall include provisions for the
8 certificates of deposit to be placed or the investment in bonds,
9 notes, debentures, obligations, or securities to be made for any
10 maturity considered appropriate by the State Treasurer. No renewals
11 will be allowed unless the amount of principal has been reduced by a
12 minimum of five percent (5%) and all interest paid to date from the
13 time of the prior loan or renewal. Interest shall be paid at the
14 times determined by the State Treasurer.

15 SECTION 8. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 92.8 of Title 62, unless there
17 is created a duplication in numbering, reads as follows:

18 A. 1. Upon the placement of an education service entity
19 deposit with an eligible lending institution, the institution shall
20 fund the loan to each approved eligible education service entity
21 listed in the education service entity deposit loan package in
22 accordance with the education service entity deposit agreement
23 between the institution and the State Treasurer.

1 2. The loan shall be at a rate that reflects a percentage rate
2 reduction below the present borrowing rate applicable to each
3 education service entity that is equal to the percentage rate
4 reduction below market rates at which the certificate of deposits
5 that constitute the education service entity deposit were placed or
6 at which the investments in bonds, notes, debentures, or other
7 obligations or securities that constitute the education service
8 entity deposit were made.

9 3. A certification of compliance with this section in the form
10 and manner as prescribed by the State Treasurer shall be required of
11 the eligible lending institution.

12 B. The State Treasurer shall take any and all steps necessary
13 to implement the Oklahoma Education Infrastructure Linked Deposit
14 Program and monitor compliance of eligible lending institutions and
15 eligible education service entities, including the development of
16 guidelines as necessary.

17 SECTION 9. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 92.9 of Title 62, unless there
19 is created a duplication in numbering, reads as follows:

20 The State of Oklahoma, the Board, and the State Treasurer shall
21 not be liable to any eligible lending institution in any manner for
22 payment of the principal or interest on the loan to an eligible
23 education service entity. Any delay in payments or default on the
24 part of an eligible education service entity does not in any manner

1 affect the education service entity deposit agreement between the
2 eligible lending institution and the State Treasurer.

3 SECTION 10. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 92.10 of Title 62, unless there
5 is created a duplication in numbering, reads as follows:

6 A. The maximum loan amount that may be linked to deposits
7 authorized by this act shall not exceed One Million Dollars
8 (\$1,000,000.00).

9 B. The maximum term of a loan that may be linked to deposits
10 authorized by this act shall not exceed ten (10) years, but a loan
11 may be extended by mutual agreement between the lender and the
12 borrower for a period of not to exceed five (5) years.

13 SECTION 11. This act shall become effective November 1, 2026.

14 Passed the House of Representatives the 11th day of March, 2026.

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Presiding Officer of the House
of Representatives

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19 Passed the Senate the _____ day of _____, 2026.

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Presiding Officer of the Senate

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